

Goals

We start with your financial goals for life. This framework is about being purposeful with your retirement; hence we start with where you want to go. There are countless possible financial goals, which we simplify into the “Four Ls of Retirement.”

First, longevity goals center on the lifetime sustainability of the core or essential expenses in retirement. These goals largely relate to housing, health care, basic living expenses, and maintaining a basic level of financial independence without becoming a burden to others.

Next, lifestyle goals relate to how you want to live your life and maintain your desired overall standard of living in retirement. Components of lifestyle may be a bit more discretionary in nature, including items such as travel and leisure, self-improvement activities, social engagement, and vicarious enjoyments such as helping with tuition for family members. These goals require maximizing your spending power in such a way that your spending can remain consistent and sustainable within an accepted degree of risk that these expenses may need to be scaled back at certain points in retirement. For these goals, there may be a sense of seeking more upside growth potential at the risk of downside losses at a level that exceeds what is feasible with the longevity goals.

Third, legacy goals typically relate to any financial impact you wish to leave on your family and community. These goals include leaving assets for subsequent generations or to charities. This also involves being able to contribute in other significant ways with your time and talent to impactful activities. The thought of “leaving behind” a legacy is a consistent theme. As a caveat, legacy goals can also be met while you are living.

Finally, liquidity goals relate to the objective to maintain additional assets not earmarked for other goals that can be tapped quickly to provide funds for unexpected contingencies. Such contingencies relate to anything falling outside the planned retirement budget. Possibilities include supporting family members during emergencies, major repairs or home improvement necessities, resources to help with an unexpected illness or death, potential